NOTE M - INCOME TAXES

At April 30, 2012 and 2011, the Company has available for federal income tax purposes a net operating loss carry forward of approximately $26,091,552 and $27,911,415, respectively, that may be used to offset future taxable income. The Company has provided a valuation reserve against the full amount of the net operating loss benefit, since in the opinion of management based upon the earnings history of the Company; it is more likely than not that the benefits will not be realized. Also, due to change in the control after reverse acquisition of Sparta Commercial Services, Inc., the Company's past accumulated losses to be carried forward may be limited.

Components of deferred tax assets as of April 30, 2012 and 2011 are as follows:

	April 30,	
	2012	**2011**
Noncurrent:		
Net operating loss carry forward	$ 7,305,634	$ 7,815,196
Valuation allowance	(7.305,634)	(7,815,196)
Net deferred tax asset	$ -	$ -

The valuation allowance and decreased by $509,562 and increased by $1,007,218 during the years ended April 30, 2012 and 2011, respectively.